

Trading for a Living

Most people reading a book like this either dream of trading for a living, or they are already doing just that. This chapter is meant both for those of you who do not yet trade for a living, and for those of you are, but are doing it wrong. Yes, in my view, there is a wrong way to trade for a living. Somewhat ironically, it is exactly this wrong way that most people outside the industry see as the ultimate goal. To trade your own money for a living. Having goals and big dreams is a good thing, but you should be careful in picking those goals. I hope that by the time you've finished reading this chapter, you will agree with me that dreaming about trading your own money for a living is the wrong dream.

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■ How Much Does a Good Trader Make?

If you think that you want to trade for a living, the first thing you need to ask yourself is how much you expect to make. I don't mean your salary, bonus or dollar trading gains but rather in terms of percent. Sometimes when I speak at conferences around the world, I ask the audience for a number. I ask them how many percent per year, on average, a good trader makes. It's a very interesting exercise, and very telling. People who come from the financial industry or have been trading professionally for some time tend to have very different expectations from hobby traders.